

Sprouts Farmers Market, Inc.

NASDAQ: SFM Equity Research • Consumer Staples / Grocery Retail



Report Date: 08 January 2026

Exchange: NASDAQ • Currency: USD

STRONG BUY

Current Price **\$80.30** | Target Price **\$122** (+52.9%) | Risk **Medium** | 12–24 mo.

MARKET DATA

Market Cap	\$7.9 B
Revenue (FY24)	\$7,719 M
Revenue (LTM)	\$8,653 M
Net Income (FY24)	\$380 M
Net Income (LTM)	\$513 M
LTM EPS	\$5.22
P/E	15.4x
EV / EBITDA (LTM)	7.79x
EV / EBIT (LTM)	11.18x
Beta	0.68

All figures in USD; \$ in millions unless noted.

SHARE PRICE — TRAILING 12 MONTHS



INVESTMENT SUMMARY

Sprouts Farmers Market appears materially undervalued following a sharp 2025 share-price decline driven by a temporary earnings miss and cautious guidance. The company remains well positioned to capture share through continued store expansion and sustained demand for healthy and organic food, and its differentiated farmers-market format supports a resilient long-term growth profile. Under conservative assumptions - roughly 5% revenue growth and normalized capital spending - our DCF implies a target price of approximately \$126, suggesting meaningful upside from current levels. We rate the shares **STRONG BUY**

Recent Results & Outlook

Third-Quarter FY2025 Results

The company delivered a **strong third quarter**, with **net sales increasing 13% year over year to \$2.2 billion**, supported by **comparable-store sales growth of 5.9%**. Profitability improved meaningfully, as **diluted EPS rose to \$1.22 from \$0.91** a year earlier, reflecting operating leverage on higher sales. Store expansion continued, with **nine new locations** opened, bringing the total base to **464 stores across 24 states** as of September 28, 2025. The company entered into a new **\$600 million revolving credit facility** on terms largely consistent with its prior agreement, ending the quarter with **\$322 million in cash** and **no outstanding borrowings**. Capital allocation remained shareholder-friendly, with a **new \$1 billion share-repurchase authorization** and **\$50 million deployed to buybacks** during the quarter. Year-to-date, the company generated **\$577 million in operating cash flow** and invested **\$194 million in capital expenditures**, net of landlord reimbursements.

Full-Year Guidance

For full-year fiscal 2025, management expects **net sales growth of approximately 14%**, supported by **comparable-store sales growth of roughly 7%** and continued unit expansion. **EBIT is guided to \$675–\$680**

million, reflecting sustained operating leverage, and **diluted EPS is projected at \$5.24–\$5.28**. The company plans to open **approximately 37 net new stores** during the year. Capital investment remains elevated, with **capital expenditures (net of landlord reimbursements) expected to range from \$230–\$250 million**, supporting new openings and ongoing infrastructure investment.

Company Overview

Sprouts Farmers Market is a health-focused grocery retailer founded in 2002 in Arizona. Since its founding it has expanded to more than **464 stores across over 24 states**. Sprouts designs its stores to resemble a traditional farmers market while maintaining operational efficiency, focusing on healthy food options with an emphasis on organic products, items with minimal chemical processing, and specialty offerings such as gluten-free and plant-based products. The company generally avoids many traditional grocery items associated with less healthy consumption, such as conventional sodas; its founding objective was to create a grocery store where customers could purchase healthy food without needing to be highly affluent.

Sprouts targets health enthusiasts and selective shoppers who prioritize better-for-you, organic, and high-quality food and who value how food fits into a healthy lifestyle. This customer base spans a wide range of ages and income levels, and the company sees significant growth opportunities by expanding share of wallet through differentiated products and a strong in-store experience.

Store Format & Merchandising



Figure 1 — Sprouts Store Design (FY2024 Form 10-K)

Sprouts' stores follow a “flipped” conventional grocery model, positioning fresh produce at the center of the store and surrounding it with a complete grocery assortment. Approximately **20% of selling square footage** is dedicated to produce — up from 15% in 2018 and a level the company states is significantly higher than many peers.

Stores are designed with open layouts and low displays so customers can view most of the store from a single vantage point, reinforcing the farmers-market atmosphere. As of 2024, stores averaged approximately **28,000 square feet**, while newer formats introduced from 2021 onward are smaller — ranging from **21,000 to 25,000 square feet** — less expensive to build and generally operating at lower cost.

Supply Chain & Distribution

Product Mix

For fiscal 2024, **57.3% of product mix consisted of perishable items** — produce, meat, seafood, deli, bakery, floral, dairy, and dairy alternatives — with the remaining **42.7% non-perishable** (grocery, vitamins, bulk, frozen, beer and wine, and natural and body-care products).

The company operates **six produce distribution centers** — two in California and one each in Arizona, Texas, Colorado, and Florida. Approximately **80% of stores sit within 250 miles of a distribution center**, supporting supply-chain efficiency, product freshness, and service levels.

Growth Strategy

Sprouts' long-term strategy focuses on driving profitable, sustainable growth by deepening engagement with its core health-conscious and selective-shopper customer base, supported by a differentiated assortment of fresh and better-for-you products and a full omnichannel offering.

Growth is expected to be driven by disciplined market expansion, with an emphasis on smaller, higher-return store formats and geographic expansion aligned with supply-chain capabilities. The company targets approximately **10% annual unit growth** over the long term. Additional initiatives include strengthening supply-chain infrastructure, enhancing customer engagement and personalization through data analytics and digital tools, and continued investment in technology to improve inventory management, decision-making, and scalability. Management also emphasizes financial discipline and margin expansion, supported by talent-development initiatives and ongoing measurement against key long-term financial and operational metrics.

Industry Overview

U.S. Macroeconomic Backdrop

- **Consumer spending** remained under pressure toward the end of 2025, though unevenly across income groups. The University of Michigan Consumer Sentiment Index stood at **52.9 in December 2025**, signaling ongoing caution. Lower- and middle-income households remain most affected, while higher-income consumers have shown greater resilience.
- **Inflation** improved modestly into year-end, with **core CPI of 2.7%** for December 2025 and **food CPI of 3.1%** (U.S. Bureau of Labor Statistics).
- **Labor markets** softened further by year-end: U.S. unemployment reached approximately **4.2% in December 2025**, up from 3.7% in early 2024, with long-term unemployment elevated at roughly 1.9 million — a trend pointing to slower discretionary-spending growth into 2026.

Organic Food Market

The organic food market has expanded steadily over the past decade. According to the Organic Trade Association (OTA), organic food sales totaled **\$38.6 billion in 2012** and increased to **\$65.4 billion in 2024**. Fresh fruits and vegetables represent the largest category, with produce accounting for approximately **33% of total organic food sales** in 2024.

Consumer awareness of organic products has risen, particularly among younger generations: as of 2024, more than **30% of Gen Z and millennial consumers** in the United States reported that they primarily purchase organic food or prefer to do so. Looking ahead, the OTA projects the organic food market will expand at a compound annual growth rate of approximately **5.1% through 2029**.

Competitive Landscape

- **Whole Foods Market** — a premium natural and organic grocery retailer focused on high-quality fresh, prepared, and private-label products. Owned by Amazon, the chain operates ~520 stores, primarily in the U.S. with a smaller presence in Canada and the U.K., targeting higher-income, health-conscious consumers and benefiting from Amazon's scale, logistics, and digital ecosystem.
- **Trader Joe's** — a value-oriented specialty grocer known for a curated, predominantly private-label assortment at accessible price points. Operates ~560 stores, almost entirely in the U.S., typically in urban and suburban high-traffic areas, and generates industry-leading sales per square foot.
- **Natural Grocers** — a specialty natural and organic chain catering to health-focused consumers, with a strong emphasis on organic produce, supplements, and nutrition education. Operates approximately 165 stores across roughly 20 U.S. states, mainly in the Western and Central U.S.; its footprint and assortment overlap meaningfully with Sprouts, though with greater emphasis on supplements.
- **The Fresh Market** — a specialty grocer targeting more affluent, food-focused consumers with premium fresh foods, prepared meals, and specialty grocery items. Operates approximately 160 smaller-format stores across the U.S., primarily in suburban markets in the Southeast, Midwest, and East Coast, emphasizing a curated, high-touch experience.

Financial Statements

Sprouts Farmers Market, Inc.															
	DEC '10	DEC '11	DEC '12	DEC '13	DEC '14	DEC '15	DEC '16	DEC '17	DEC '18	DEC '19	DEC '20	DEC '21	DEC '22	DEC '23	DEC '24:EP '25 LTM
	Restate														
Sales	\$517	1,106	1,795	2,438	2,967	3,593	4,046	4,665	5,207	5,635	6,469	6,100	6,404	6,837	7,719
YoY % Growth		114.0%	62.3%	35.8%	21.7%	21.1%	12.6%	15.3%	11.6%	8.2%	14.8%	-5.7%	5.0%	6.8%	12.9%
COGS excluding D&A	\$354	772	1,229	1,654	2,082	2,541	2,864	3,098	3,460	3,740	4,089	3,891	4,056	4,316	4,778
Gross Profit	\$163	333	566	774	885	1,052	1,182	1,567	1,747	1,895	2,379	2,209	2,349	2,522	2,941
Gross Margin	31.6%	30.2%	31.6%	31.7%	29.8%	29.3%	29.2%	33.6%	33.6%	33.6%	36.8%	36.2%	36.7%	36.9%	38.1%
Depreciation & Amortization Expense	\$14	55	36	49	62	69	81	94	108	120	124	122	124	132	133
Depreciation	\$10	22	35	47	61	68									
Amortization of Intangibles	\$4	33	1	1	1	1		1	1	0	0	-	-		
Gross Income	\$149	279	530	725	823	982	1,101	1,473	1,639	1,774	2,255	2,087	2,225	2,396	2,809
Gross Income Margin	28.8%	25.2%	29.5%	29.7%	27.7%	27.3%	27.2%	31.6%	31.5%	31.5%	34.9%	34.2%	34.7%	35.0%	36.4%
SG&A Expense	\$138	297	455	578	620	752	888	1,246	1,404	1,550	1,864	1,748	1,856	2,000	2,291
Other SG&A	\$138	297	455	578	620	752	888	1,246	1,404	1,550	1,864	1,748	1,856	2,000	2,291
EBITDA	\$25	37	112	196	265	298	294	320	331	338	516	456	482	482	637
EBITDA Margin	4.9%	3%	6%	8%	9%	8%	7%	7%	6%	6%	8%	7%	8%	7%	8%
EBIT (Operating Income)	\$11	(18)	76	147	203	229	213	226	223	217	392	334	358	350	504
EBIT Margin	2.2%	-1.6%	4.2%	6.0%	6.8%	6.4%	5.3%	4.8%	4.3%	3.9%	6.1%	5.5%	5.6%	5.1%	6.5%
Nonoperating Income - Net	(\$2)	(1)	(2)	0	1	0	0	1	1	(0)	4	6	2	-	8
Other Income (Expense)	(\$2)	(1)	(2)	0	1	0	0	1	1	(0)	4	6	2	-	8
Interest Expense	\$1	20	35	37	25	18	15	21	28	21	19	17	11	6	6
Gross Interest Expense	\$1	20	35	37	25	18	15	21	28	21	19	17	11	6	6
Unusual Expense - Net	\$0	6	3	26	4	7	0	1	12	7	(0)	5	11	45	13
Restructuring Expense	\$0	6	2	1	2	0	1	12	7	7	(0)	5	11	39	13
Legal Claim Expense				1											
Excl Chrgs - Others	\$0	-	1	24	4	5	-							6	
Restructuring of Debt	\$0	-	1	19	1	5	-								
Accelerated Depreciation														6	
Other Unusual Expense				5	3										
Pretax Income	\$8	(45)	35	84	174	206	199	206	196	196	377	322	349	344	507
Income Taxes	\$3	(18)	15	33	66	77	74	47	37	47	89	78	88	85	126
Income Taxes - Current Domestic	\$1	2	1	19	58	61	54	39	15	45	84	80	86	90	115
Income Taxes - Deferred Domestic	\$2	(20)	14	14	8	16	21	8	23	2	5	(2)	2	(5)	11
Consolidated Net Income	\$5	(27)	20	51	108	129	124	158	159	150	287	244	261	259	381
Net Income	\$5	(27)	20	51	108	129	124	158	159	150	287	244	261	259	381
Net Income available to Common	\$5	(27)	20	51	108	129	124	158	159	150	287	244	261	259	381
Net Income Margin	0.9%	-2.5%	1.1%	2.1%	3.6%	3.6%	3.1%	3.4%	3.0%	2.7%	4.4%	4.0%	4.1%	3.8%	4.9%
Per Share															
EPS (recurring)	\$0	(0)	0	0	1	1	1	1	1	1	2	2	2	3	4
EPS (basic)	\$0	(0)	0	0	1	1	1	1	1	1	2	2	2	3	4
Basic Shares Outstanding	\$146	146	146	135	150	153	147	135	129	119	118	115	108	102	98

Figure 2 — Income Statement (Annual)

Sprouts Farmers Market, Inc.										
	DEC '22 FY	DEC '23 FY	MAR '24 Q1	JUN '24 Q2	SEP '24 Q3	DEC '24 Q4	DEC '24 FY	MAR '25 Q1	JUN '25 Q2	SEP '25 Q3
Sales	\$6,404	6,837.4	1,883.8	1,893.5	1,945.7	1,996.2	7,719.3	2,236.4	2,220.6	2,200.4
QoQ Growth			4%	6.70%	8.40%			11.70%	10.20%	5.90%
COGS	\$3,935	4,182.4	1,126.9	1,140.2	1,169.3	1,200.0	4,636.5	1,313.7	1,320.3	1,310.2
Gross Profit	\$2,469	4,182.4	1,126.9	1,140.2	1,169.3	1,200.0	4,636.5	1,313.7	1,320.3	1,310.2
Gross Profit Margin	39%	61.2%	59.8%	60.2%	60.1%	60.1%	60.1%	58.7%	59.5%	59.5%
QoQ Growth								16.6%	15.8%	12.0%
Depreciation & Amortization Expense	\$244	259.1	66.8	66.4	69.9	70.9	274.1	71.5	74.3	78.0
Depreciation	\$244	259.1	66.8	66.4	69.9	70.9	274.1	71.5		
Gross Income	\$2,225	2,395.8	690.1	686.9	706.5	725.3	2,808.7	851.3	826.0	812.2
QoQ Growth								23.4%	20.3%	15.0%
Margin (%)	35%	35%	37%	36%	36%	36%	36%	38%	37%	37%
SG&A Expense	\$1,856	2,000.4	539.8	556.4	580.3	614.9	2,291.4	623.2	645.1	653.3
Other SG&A	\$1,856	2,000.4	539.8	556.4	580.3	614.9	2,291.4	623.2	645.1	653.3
EBITDA	\$614	654.5	217.1	196.9	196.1	181.3	791.5	299.5	255.2	236.9
EBITDA Margin	10%	10%	12%	10%	10%	9%	10%	13%	11%	11%
EBIT (Operating Income)	\$369	395.4	150.3	130.5	126.2	110.4	517.4	228.0	180.9	158.9
QoQ Growth								51.7%	38.6%	25.9%
Margin (%)	5.8%	5.8%	8.0%	6.9%	6.5%	5.5%	6.7%	10.2%	8.1%	7.2%
Nonoperating Income - Net	\$2	-	-	2.2	1.6	2.4	8.0	1.5	1.0	1.6
Other Income (Expense)	\$2	-	-	2.2	1.6	2.4	8.0	1.5	1.0	1.6
Interest Expense	\$11	6.5	0.8	2.0	0.6	0.6	5.8	0.6	0.6	0.9
Gross Interest Expense	\$11	6.5	0.8	2.0	0.6	0.6	5.8	0.6	0.6	0.9
Unusual Expense - Net	\$11	45.2	2.0	3.2	3.7	3.9	12.9	1.7	1.5	1.5
Restructuring Expense	\$11	39.3	2.0	3.2	3.7	3.9	12.9	1.7	1.5	1.5
Excl Chrgs - Others		5.9								
Accelerated Depreciation		5.9								
Pretax Income	\$349	343.7	147.4	127.5	123.5	108.3	506.7	227.3	179.8	158.1
QoQ Growth								54.1%	41.1%	28.0%
Margin (%)	5%	5%	8%	7%	6%	5%	7%	10%	8%	7%
Income Taxes	\$88	84.9	33.3	32.2	31.9	28.7	126.1	47.2	46.1	38.0
Income Taxes - Current Domestic	\$86	89.8					115.4			
Income Taxes - Deferred Domestic	\$2	(4.9)					10.7			
Consolidated Net Income	\$261	258.9	114.1	95.3	91.6	79.6	380.6	180.0	133.7	120.1
QoQ Growth								57.8%	40.3%	31.1%
Margin (%)	4%	4%	6%	5%	5%	4%	5%	8%	6%	5%
Net Income	\$261	258.9	114.1	95.3	91.6	79.6	380.6	180.0	133.7	120.1
QoQ Growth								57.8%	40.3%	31.1%
Margin (%)	4.1%	3.8%	6.1%	5.0%	4.7%	4.0%	4.9%	8.0%	6.0%	5.5%
Net Income available to Common	\$261	258.9	114.1	95.3	91.6	79.6	380.6	180.0	133.7	120.1
Per Share										
EPS (recurring)	\$2	2.8	1.1	1.0	0.9	0.8	3.8	1.8	1.4	1.2
EPS (basic)	\$2	2.5	1.1	0.9	0.9	0.8	3.8	1.8	1.4	1.2
Basic Shares Outstanding	\$108	102.5	101.1	100.5	100.1	99.8	100.4	98.5	97.9	97.7
Total Shares Outstanding	\$105	101.2	100.8	100.2	100.0	99.3	99.3	98.2	97.8	97.5
EPS (diluted)	\$2	2.5	1.1	0.9	0.9	0.8	3.8	1.8	1.4	1.2
Diluted Shares Outstanding	\$109	103.4	102.0	101.2	101.0	101.0	101.4	99.7	98.8	98.7
Total Shares Outstanding	\$105	101.2	100.8	100.2	100.0	99.3	99.3	98.2	97.8	97.5
Earnings Persistence	\$93	86.7	88.9	86.8	90.8	91.3	91.3	91.4	91.6	87.8

All figures in millions of U.S. Dollar except per share items.

Figure 3 — Income Statement (Quarterly)

Sprouts Farmers Market, Inc.	DEC '11	DEC '12	DEC '13	DEC '14	DEC '15	DEC '16	DEC '17	DEC '18	DEC '19	DEC '20	DEC '21	DEC '22	DEC '23	DEC '24	MAR '25	JUN '25	SEP '25
	Restate																
Assets																	
Cash & Short-Term Investments	\$15	67	78	131	136	12	19	2	87	171	245	293	204	267	288	264	326
Cash Only	\$15	67	78	131	136	12	19	2	87	171	245	293	204	267	288	264	326
Short-Term Receivables	\$7	10	10	20	26	27	26	41	16	15	16	22	30	31	72	62	65
Accounts Receivables, Net	\$4	8	5	8	20	25	26	41	16	15	16	22	30	31	72	62	65
Inventories	\$3	1	4	12													
Finished Goods	\$64	98	118	143	165	204	230	264	276	254	265	311	323	343	340	351	400
Prepaid Expenses & Other Current Assets	\$18	27	26	41	23	22	25	27	11	27	35	54	36	48	33	33	27
Total Current Assets	\$103	203	232	334	345	264	300	334	388	466	568	674	604	676	732	709	818
Property, Plant & Equipment	\$221	303	349	455	494	605	713	766	1,770	1,772	1,788	1,829	2,122	2,362	2,401	2,467	2,586
PPE excluding operating leases									742	727	716	722	799	895	899	923	990
Intangible Assets	\$390	565	564	562	567	566	564	563	553	554	554	554	590	590	590	590	590
Other Assets	\$4	10	13	18	19	6	5	12	12	15	14	14	12	13	15	17	20
Total Assets	\$762	1,103	1,172	1,369	1,426	1,440	1,582	1,676	2,723	2,806	2,923	3,070	3,327	3,641	3,738	3,783	4,013
Liabilities & Shareholders' Equity																	
Current																	
ST Debt & Curr. Portion LT Debt	\$3	5	9	37	15	12	9	7	107	137	153	137	127	152	155	163	172
Accounts Payable	\$54	83	111	113	134	158	119	120	123	139	146	173	180	213	294	249	268
Income Tax Payable			6	6	7	9			-						34		12
Other Current Liabilities	\$34	49	50	65	74	80	171	182	187	220	215	213	240	315	289	309	329
Total Current Liabilities	\$91	137	176	221	230	259	300	310	417	496	513	522	547	680	772	721	781
Long-Term																	
Long-Term Debt	\$367	529	422	370	276	372	473	573	1,628	1,330	1,356	1,404	1,533	1,528	1,563	1,593	1,687
Long-Term Debt excl. Lease Obligations	\$294	425	305	249	160	255	348	453	549	260	260	259	134	7	-	-	41
Capital and Operating Lease Obligations	\$73	104	116	122	116	117	125	120	1,079	1,070	1,096	1,145	1,400	1,520	1,563	1,593	1,646
Provision for Risks & Charges	\$10	16	-	4	20	27	-	-	-						-	-	-
Other Liabilities	\$27	35	61	70	78	89	131	153	96	99	94	97	99	111	37	37	38
Other Liabilities (excl. Deferred Income)	\$27	35	51	56	78	89	131	153	42	41	36	36	36	38	37	37	38
Deferred Income	\$0	-	11	14	-	19	27	50	54	58	61	62	73	78	78	76	73
Total Long term liabilities	\$404	580	483	463	373	508	631	776	1,724	1,429	1,450	1,502	1,632	1,639	1,678	1,706	1,797
Total Liabilities	\$494	716	659	684	603	767	931	1,086	2,141	1,925	1,963	2,024	2,179	2,319	2,450	2,427	2,579
Equity																	
Common Equity																	
Common Stock Par/Carry Value	\$267	387	0	0	0	673	651	589	582	881	960	1,046	1,149	1,322	1,288	1,356	1,435
Additional Paid-In Capital/Capital Surplus			479	543	577	597	621	657	671	687	705	726	775	808	815	824	832
Retained Earnings			34	142	245	76	31	(69)	(84)	203	259	320	374	514	473	533	603
Other Appropriated Reserves						(1)	1	(5)	(8)	(4)							
Total Shareholders' Equity	\$267	387	514	685	823	673	651	589	582	881	960	1,046	1,149	1,322	1,288	1,356	1,435
Total Equity	\$267	387	514	685	823	673	651	589	582	881	960	1,046	1,149	1,322	1,288	1,356	1,435
Total Liabilities & Shareholders' Equity	\$762	1,103	1,172	1,369	1,426	1,440	1,582	1,676	2,723	2,806	2,923	3,070	3,327	3,641	3,738	3,783	4,013
Per Share																	
Book Value per Share	\$2	3	3	5	5	5	5	5	5	7	9	10	11	13	13	14	15
Tangible Book Value per Share	(\$1)	(1)	(0)	1	2	1	1	0	0	3	4	5	6	7	7	8	9

All figures in millions of U.S. Dollar except per share items.

Figure 4 — Balance Sheet

Sprouts Farmers Market, Inc.		DEC '10	DEC '11	DEC '12	DEC '13	DEC '14	DEC '15	DEC '16	DEC '17	DEC '18	DEC '19	DEC '20	DEC '21	DEC '22	DEC '23	DEC '24	SEP '25
		LTM															
Operating Activities																	
Net Income / Starting Line	\$5	(27)	20	51	108	129	124	158	159	150	287	244	261	259	381	513	
Depreciation, Depletion & Amortization	\$14	55	36	47	60	69	81	97	111	205	226	234	244	265	274	295	
Depreciation and Depletion	\$10	22	35	47	60										274	295	
Depreciation and amortization						69	80	97	111	123	127	126	127	138	140		
Operating lease assets amortization						0	0	0	1	82	99	109	117	127	134		
Amortization of Intangible Assets	\$4	33	1														
Deferred Taxes & Investment Tax Credit	\$2	(20)	14	25	16	16	21	8	23	(0)	4	(0)	3	(5)	11	9	
Deferred Taxes	\$2	(20)	14	25	16	16	21	8	23	(0)	4	(0)	3	(5)	11	9	
Other Funds	\$0	5	11	17	10	16	14	16	20	17	18	22	25	51	34	35	
Funds from Operations	\$21	13	80	141	194	230	240	280	313	371	535	500	534	569	700	852	
Changes in Working Capital	\$1	40	4	20	(13)	10	14	30	(18)	(16)	(41)	(135)	(163)	(104)	(55)	(150)	
Receivables	(\$0)	2	(3)	(2)	(4)	(6)	(5)	(5)	(8)	36	26	17	13	3	30	24	
Inventories	(\$7)	2	(1)	(20)	(25)	(23)	(39)	(25)	(35)	(12)	22	(11)	(45)	(11)	(20)	(70)	
Accounts Payable	\$3	15	(5)	32	(5)	19	16	39	4	29	20	5	13	12	28	26	
Income Taxes Payable											(2)	-	-	-	-	-	
Other Accruals	\$5	7	2	6	16	8	8	13	3	0	32	(17)	8	25	63	33	
Other Assets/Liabilities	\$0	14	12	3	5	11	34	8	17	(69)	(139)	(128)	(153)	(134)	(155)	(173)	
Net Operating Cash Flow	\$22	52	84	161	181	240	254	310	294	355	494	365	371	465	645	702	
Investing Activities																	
Capital Expenditures	(\$17)	(28)	(46)	(87)	(127)	(131)	(182)	(199)	(177)	(183)	(122)	(102)	(124)	(225)	(230)	(245)	
Capital Expenditures (Fixed Assets)	(\$17)	(28)	(46)	(87)	(127)	(125)	(181)	(199)	(177)	(183)	(122)	(102)	(124)	(225)	(230)	(245)	
Capital Expenditures (Other Assets)	(\$0)	(0)	-	-	-	(6)	(0)	-	-	-	-	-	-	-	-	-	
Net Assets from Acquisitions	\$0	(233)	(130)											(13)	-	-	
Sale of Fixed Assets & Businesses	\$0	-	10	1	0	3	1	0	0	-	-	-	-	-	-	-	
Other Funds	\$0	-	-	0	0	-	-	-	-	-	-	-	-	-	-	-	
Other Sources				0	0	-	-	-	-	-	-	-	-	-	-	-	
Net Investing Cash Flow	(\$17)	(261)	(167)	(86)	(127)	(128)	(181)	(199)	(177)	(183)	(122)	(102)	(124)	(238)	(230)	(245)	
Financing Activities																	
Cash Dividends Paid	\$0	(275)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Common Dividends	\$0	(275)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Change in Capital Stock	\$0	206	5	52	11	(19)	(292)	(194)	(236)	(171)	1	(186)	(195)	(192)	(225)	(441)	
Repurchase of Common & Preferred Stk.	\$0	-	(0)	(300)	-	(26)	(294)	(203)	(258)	(176)	-	(188)	(200)	(203)	(230)	(442)	
Sale of Common & Preferred Stock	\$0	206	6	352	11	7	3	9	22	5	1	2	5	11	5	2	
Proceeds from Sale of Stock	\$0	206	6	349	-	-	-	-	-	-	-	-	-	-	-	-	
Proceeds from Stock Options	\$0	-	-	4	11	7	3	9	22	5	1	2	5	11	5	2	
Issuance/Reduction of Debt, Net	\$0	294	130	(134)	(60)	(107)	91	90	102	84	(289)	(1)	(4)	(125)	(125)	0	
Change in Long-Term Debt	\$0	294	130	(134)	(60)	(107)	91	90	102	84	(289)	(1)	(4)	(125)	(125)	0	
Issuance of Long-Term Debt	\$0	321	138	691	1	259	105	154	235	265	-	-	59	-	-	-	
Reduction in Long-Term Debt	\$0	(27)	(8)	(825)	(61)	(365)	(14)	(64)	(133)	(181)	(289)	(1)	(63)	(125)	(125)	0	
Repayments of Operating Lease Liabilities														(1)	(1)		
Other Funds	(\$7)	(8)	(0)	18	47	20	4	-	(0)	(0)	-	-	-	-	-	(2)	
Other Uses	(\$7)	(16)	(0)	-	-	-	-	-	(0)	(0)	-	-	-	-	-	(2)	
Other Sources	\$0	8	0	18	47	20	4	-	-	-	-	-	-	-	-	-	
Net Financing Cash Flow	(\$6)	218	135	(64)	(2)	(106)	(197)	(104)	(135)	(87)	(287)	(187)	(199)	(318)	(351)	(444)	
All Activities																	
Net Change in Cash	(\$1)	10	53	10	53	6	(124)	7	(17)	85	85	76	48	(91)	63	14	
Free Cash Flow	\$6	25	38	73	54	115	73	111	117	172	372	262	247	240	415	458	
Free Cash Flow per Share	\$0	0	0	1	0	1	0	1	1	1	3	2	2	2	4	5	
Free Cash Flow Yield (%)				1	1	3	3	3	4	7	16	8	7	5	3	4	

All figures in millions of U.S. Dollar except per share items.

Figure 5 — Cash Flow Statement

Sales Analysis

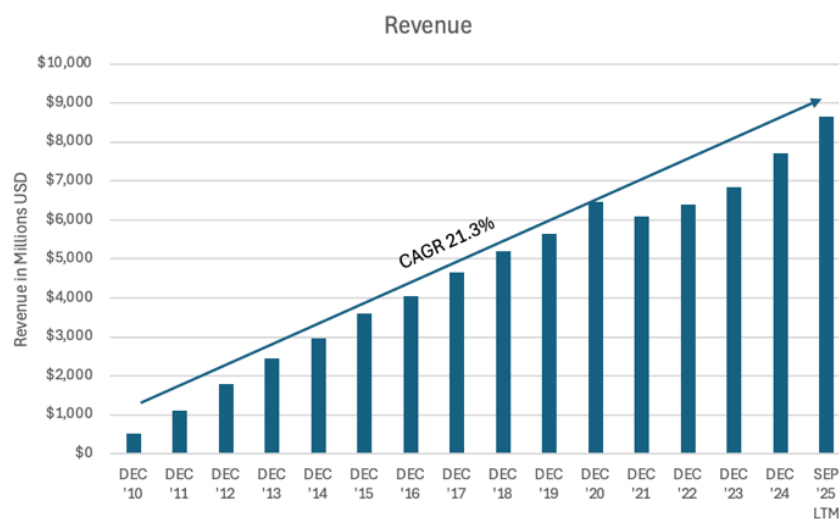


Figure 6 — Revenue & 15-Year CAGR

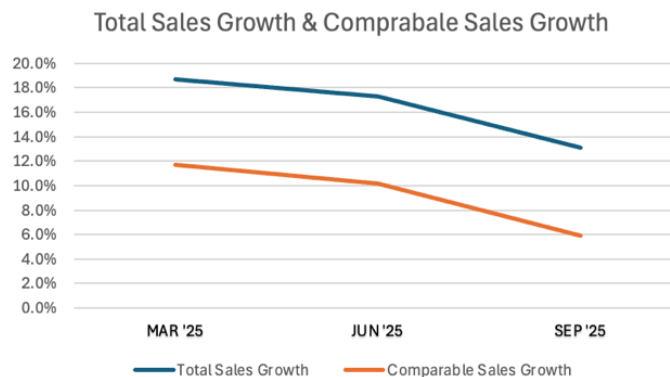


Figure 7 — Total vs. Comparable Sales Growth (2025 Quarters)

	24-Q1	24-Q2	24-Q3	25-Q1	25-Q2	25-Q3
Comparables Sales Growth	4%	6.70%	8.40%	11.70%	10.20%	5.90%

Figure 8 — Comparable Sales Growth by Quarter

Sprouts has delivered strong growth over the past 15 years, generating a sales CAGR of approximately **21.3%**, driven by broader market expansion, increased consumer awareness around food quality, improving brand competitiveness, and consistent store expansion across multiple U.S. states.

In 2025, revenue growth has remained robust, with sales increasing approximately **19%**, **17%**, and **13%** in the first three quarters, respectively. Comparable-store sales have generally tracked total revenue growth; however, in Q3 comparable sales growth moderated to **5.9%**. This deceleration has raised investor concerns and contributed meaningfully to the recent decline in the stock price.

Margins & Profitability

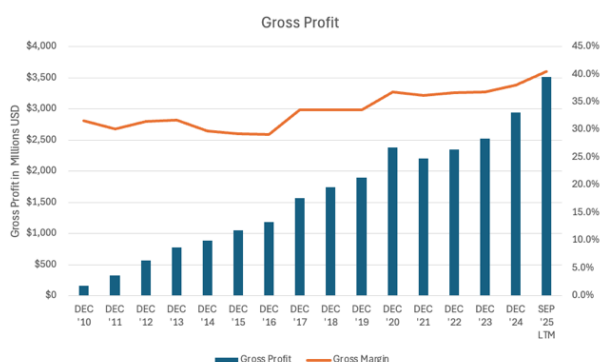


Figure 9 — Gross Profit Over Time

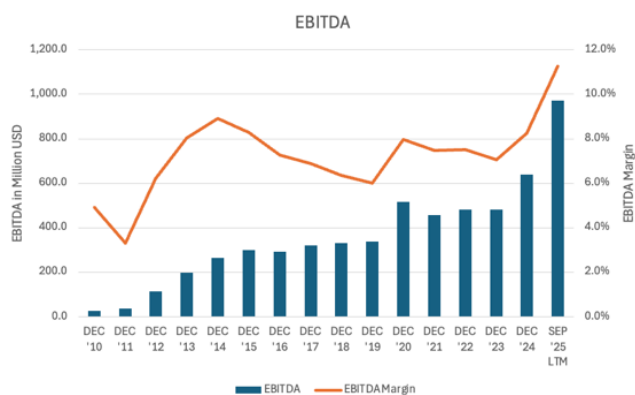


Figure 10 — EBITDA Over Time

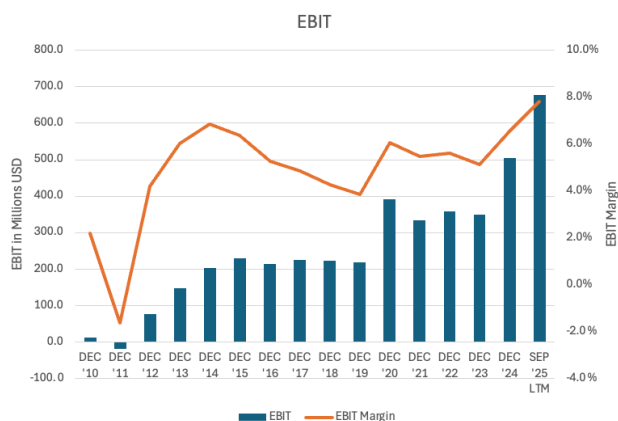


Figure 11 — EBIT Over Time



Figure 12 — Net Income Over Time

- **Gross profit** increased from approximately \$163 million in 2010 to over **\$3.5 billion in 2025**, reflecting significant scale expansion. Gross margin improved from roughly 32% to above **40%**, driven by improved merchandising, pricing discipline, and cost management.
- **EBITDA** grew from approximately \$25 million in 2010 to nearly **\$1.0 billion in 2025 LTM**, with margins expanding from around 5% in the early 2010s to approximately **11–12%** recently — substantial operating leverage as the business scaled.
- **EBIT** increased from roughly \$11 million in 2010 to approximately **\$680 million in 2025 LTM**, with margins expanding from about 2% to nearly **8%**, reflecting disciplined SG&A control and stronger store-level profitability.
- **Net income** rose from \$5 million in 2010 to over **\$500 million in 2025 LTM**, while net margin improved from below 1% to nearly **6%** — underscoring the company's ability to convert revenue growth into sustainable bottom-line earnings.

Overall, Sprouts has transformed from a small, low-margin retailer into a scaled, highly profitable operator. The steady expansion in revenue, margins, and earnings demonstrates a durable business model and strong execution, positioning the company well for continued long-term growth.

Returns on Capital

Methodology

- $ROTCE = EBIT / (NWC + NFA)$
- $NWC = \text{current assets (excl. cash)} - \text{current liabilities (excl. short-term debt)}$
- $ROIC = EBIT \times (1 - \text{tax rate}) / [(\text{assets} - \text{cash}) - \text{non-interest-bearing current liabilities}]$

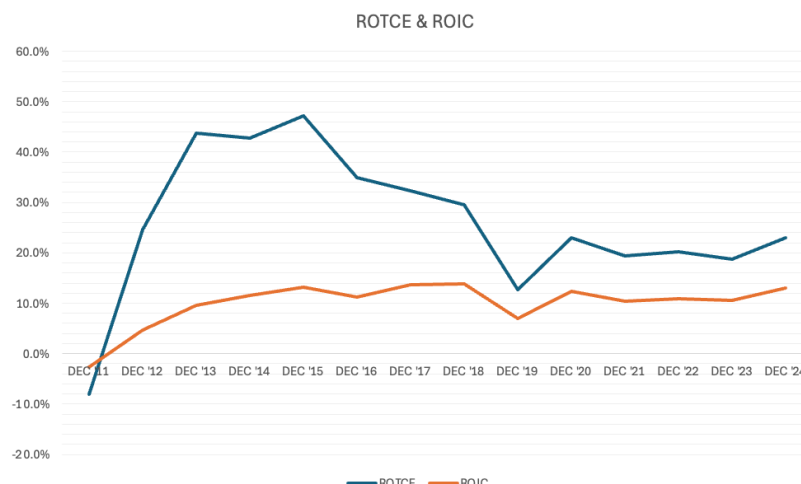


Figure 13 — ROTCE & ROIC Over Time

ROTCE increased sharply between 2012 and 2015, peaking at approximately **45–47%**, driven by rapid EBIT growth combined with a relatively low capital base during the company's early expansion phase. As Sprouts continued to invest in new stores and infrastructure, ROTCE normalized to the **20–25%** range in recent years — still well above typical retail averages and reflecting strong underlying unit economics.

ROIC has followed a more stable trajectory, improving from low single digits in the early 2010s to a sustained **10–13%** in recent years, reflecting higher operating profitability and more disciplined capital deployment. The temporary decline in both metrics around 2019 coincided with increased investment and margin pressure, followed by a recovery driven by improved operating performance.

Overall, the sustained elevation of both ROTCE and ROIC suggests Sprouts has been effective in converting incremental investment into profitable growth, supporting the view that it operates with a high-quality capital structure and generates returns well in excess of its cost of capital over time.

CapEx & Store Expansion

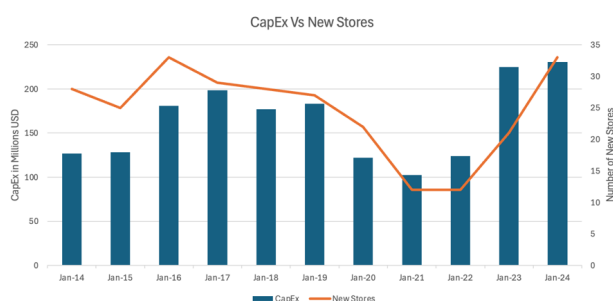


Figure 14 — CapEx vs. New Stores

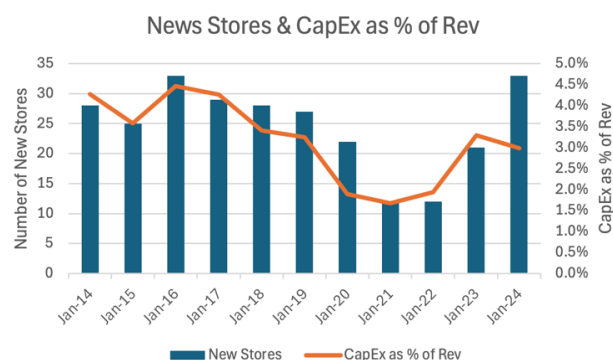


Figure 15 — New Stores & CapEx as % of Revenue

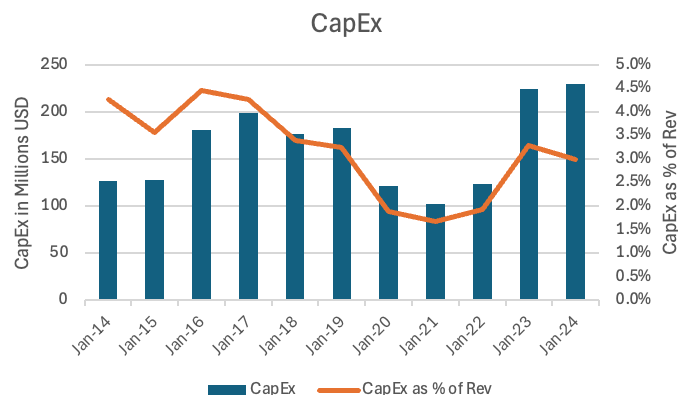


Figure 16 — CapEx & CapEx as % of Revenue

Sprouts has pursued a consistent, disciplined store-expansion strategy over the past decade, steadily increasing its footprint while maintaining prudent capital allocation. Total store count grew from approximately **170 locations in 2013 to 440 in 2024**, while geographic presence expanded from 12 to **25 states**. In 2025 the company has already reached **464 stores** and expects to finish the year having opened 37 — underscoring its commitment to a long-term objective of **1,000 stores nationwide**.

Recent expansion has concentrated in high-growth, underpenetrated markets. From 2022 to 2024 the company added **66 net new stores**, led by California (+21), Florida (+18), Texas (+7), and Arizona (+4), and has increasingly pursued opportunities in the Northeast.

Capital expenditures have closely tracked store growth but become more efficient over time, rising from roughly \$125–180 million in the mid-2010s to approximately **\$225–230 million in 2024**. Importantly, **CapEx as a percentage of revenue has trended down**, from over 4% earlier in the decade to closer to 3% recently, indicating improved capital efficiency as the business scaled.

The temporary reduction in openings and CapEx during 2020–2021 reflected heightened uncertainty and capital discipline, followed by a clear reacceleration beginning in 2023. The increase to over 30 new stores in 2024 suggests renewed confidence in demand and the company's ability to generate attractive returns on incremental investment. Overall, Sprouts' approach balances expansion with discipline, reinvesting in growth while improving capital efficiency and reinforcing the sustainability of its long-term model.

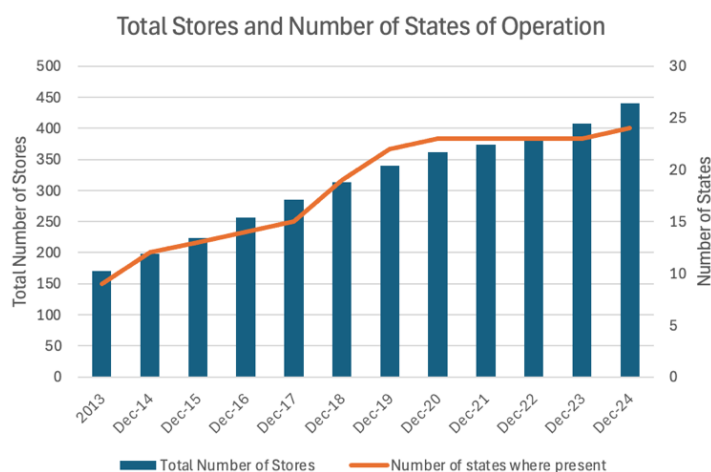


Figure 17 — Total Stores & Number of States of Operation

Store locations by state	2024	2022	Change
WA	3	4	-1
WY	1		1
NV	16	14	2
CA	149	128	21
AZ	47	43	4
UT	5	5	0
CO	33	32	1
NM	10	9	1
KS	4	5	-1
OK	11	11	0
TX	54	47	7
LA	1	1	0
MO	3	3	0
TN	8	6	2
AL	3	3	0
GA	17	18	-1
FL	47	29	18
SC	2	1	1
NC	6	5	1
VA	3	1	2
MD	7	5	2
DE	2	1	1
NJ	3	1	2
PA	5	2	3
Total	440	374	66

Figure 18 — Store Locations by State

Valuation

Target price per share

- **Public Company Comparables: \$56**
- **Discounted Cash Flow: \$122**
- **Assumed acquisition price: \$80.30**
- The investment decision is based **primarily on the DCF analysis**, with less reliance on comparables; precedent transactions were not considered.
- The target price is, in my view, **conservative**, as it assumes growth rates meaningfully below the company's historical levels.

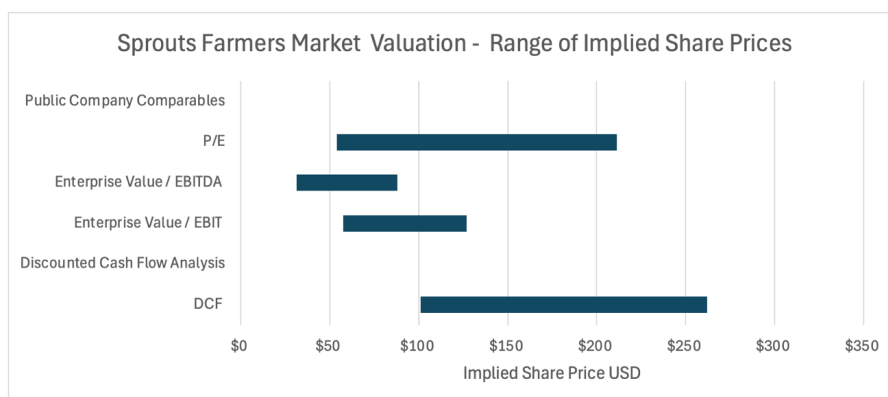


Figure 19 — Valuation Football Field — Range of Implied Share Prices

Public Company Comparables

Company Name	Capitalization Market Cap	Price	52 Week High	P/E Ratio	Revenue 2023	Revenue 2024	Revenue CAGR Past 3 years	Revenue CAGR past 5 years	EBITDA LTM	EBIT LTM
Sprouts Farmers Market	7,750	80.3	182.00	15.81x	6,837	7,719	8.16%	6.5%	973.0	678.2
Albertsons Companies A	9,492	17.31	23.20	10.31x	79,238	80,391	3.80%	5.2%	4,393.3	1,848.9
Kroger	40,000	63	74.90	57.61x	150,000	147,000	2.18%	3.8%	8,673.0	4,711.0
Natural Grocers	603	25	61.22	12.61x	1,242	1,331	6.89%	5.1%	96.4	62.7
Average				26.84x	76,826	76,241	4.3%	4.7%	4,388	2,208

Company Name	EBITDA Margin	EBITDA Margin	Enterprise Value/ EBITDA LTM	Enterprise Value/EBIT LTM	D/E
Sprouts Farmers Market	11.2%	7.8%	7.76x	11.14x	0.36
Albertsons Companies A	5.4%	2.3%	4.03x	9.57x	2.73
Kroger	5.9%	3.2%	6.15x	11.33x	1.18
Natural Grocers	7.2%	4.7%	6.59x	10.14x	0.90
Average	6.2%	3.4%	5.59x	10.35x	1.60

EBITDA Multiple Valuation 55.84

Figure 20 — Comparable Public Companies

The public-company comparables analysis implies a target price of approximately **\$56**, based on average valuation multiples. However, I place limited weight on this, as the selected peer group consists primarily of traditional grocery retailers whose business models differ meaningfully from Sprouts'; with the exception of Natural Grocers, these companies are less focused on organic and specialty offerings.

In addition, the peer group exhibits materially lower revenue growth than Sprouts, and I do not expect these companies to match Sprouts' expected growth trajectory over the next several years. As a result, the comparable analysis may understate Sprouts' intrinsic value and should be interpreted with caution.

Discounted Cash Flow Analysis

FCFF	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	TV
Sales	\$6,100	6,404	6,837	7,719	8,800	9,064	9,336	9,616	9,904	10,202	
COGS	\$3,891	4,056	4,316	4,636	5,324	5,484	5,648	5,818	5,992	6,172	
Gross Profit	\$2,209	2,349	2,522	3,083	3,476	3,580	3,688	3,798	3,912	4,030	
Gross Profit Margin				0	40%	40%	40%	40%	40%	40%	
D&A	\$122	124	132	133	270	267	268	269	267	266	
SG&A	\$1,748	1,856	2,000	2,291	2,502	2,465	2,539	2,616	2,694	2,775	
EBITDA	\$456	482	482	637	945	1,115	1,148	1,183	1,218	1,255	
EBITDA Margin				0	10.7%	12.3%	12.3%	12.3%	12.3%	12.3%	
EBIT	\$334	358	350	504	675	848	881	914	951	989	
EBIT Margin				0	7.7%	9.4%	9.4%	9.5%	9.6%	9.7%	
EBIT * (1-Tax Rate)	\$253	269	263	379	507	637	661	686	714	743	
D&A	\$234	244	265	274	270	267	268	269	267	266	
Current assets	\$322	381	400	408	465	479	494	509	524	540	
% of rev			0	0							
Current liabilities	\$361	386	420	528	602	620	639	658	678	698	
% of rev			0	0							
NW	(\$38)	(5)	(20)	(120)	(137)	(141)	(145)	(149)	(154)	(159)	
CNW	33	(14)	(100)	(17)	(4)	(4)	(4)	(4)	(4)	(5)	
CapEx	(\$102)	(124)	(225)	(230)	(245)	(272)	(280)	(250)	(258)	(265)	
FCF	\$385	422	288	322	548	636	653	710	728	748	
DFCF					536	609	583	590	564	540	8,657
EV			12,048								
Implied Equity Value			12,048								
per share			122								

Figure 21 — Unlevered DCF

Revenue Assumptions	
Growth rate	3%
Terminal growth rate	1%
Others	
Gross Profit	40%
D&A % of rev	90%
	10%
Tax Rate	25%
CapEx when expanding	3.0%
Capex normal	2.6%
WACC	7.30%
Fully diluted shares out.	98.46

Figure 22 — Revenue & Operating Assumptions

For the DCF, I assume a **5% revenue growth rate** over the next five years — below the company's historical rate — reflecting continued comparable-store sales growth driven by sustained demand in the healthy and organic segment, plus ongoing nationwide store expansion.

Growth is supported by new-store openings, with **capital expenditures of approximately 3.0% of revenue** for the first three years (roughly 36 stores per year). Thereafter I assume a moderation in expansion, with openings declining to approximately **22 stores per year** and **CapEx easing to 2.6% of revenue**, consistent with historical

periods of slower expansion. Operating leases are not capitalized, in line with the company's own reporting treatment; lease costs are reflected as rent expense within operating expenses.

Based on these assumptions, the DCF yields a target price of approximately **\$126 per share**.

Sensitivity Analysis

DCF output is most sensitive to the assumed cost of capital and long-run growth rates. The tables below show implied per-share value across a range of assumptions for medium-term revenue growth and the terminal growth rate, holding other inputs constant.

		Revenue Next Five Years Growth Rate					
		122	1%	2%	3%	4%	5%
WACC	6.3%	133	138	144	150	157	
	6.8%	122	127	132	138	144	
	7.3%	113	117	122	127	133	
	7.8%	105	109	114	118	123	
	8.3%	98	102	106	111	115	

		Terminal Growth Rate					
		122	0%	0.5%	1.0%	1.5%	2.0%
WACC	6.3%	126	134	144	156	171	
	6.8%	117	124	132	142	154	
	7.3%	110	115	122	130	140	
	7.8%	103	108	114	121	128	
	8.3%	97	101	106	112	119	

Figure 23 — Sensitivity — Revenue Growth & Terminal Growth vs. WACC

Investment Thesis

I believe Sprouts Farmers Market is materially undervalued at current levels. The stock declined sharply in 2025, driven in part by a miss versus consensus and more cautious forward guidance, falling from approximately **\$173 in 2024 to around \$80** currently.

Despite this pullback, I expect Sprouts to continue expanding its footprint and capturing incremental market share. The company is well positioned to benefit from sustained consumer demand for healthy and organic food, supported by a differentiated product offering and a strong brand identity centered on a farmers-market-style format. Growth should be driven by a combination of improving comparable-store sales and continued nationwide expansion.

Sprouts' strategy of offering high-quality, premium products at competitive prices allows it to compete effectively across a broad range of grocery retailers while maintaining a differentiated value proposition.

My valuation framework is deliberately conservative, assuming only **3% revenue growth** over the next several years while modeling capital expenditures and operating costs consistent with the company's historical expansion period. Even under these cautious assumptions, the analysis implies a target price of approximately **\$122**, highlighting the extent to which the stock appears undervalued.

Catalysts

- **Reacceleration in comparable-store sales.** A recovery in comparable-store sales growth would alleviate concerns around demand softness and support a re-rating of the stock.

- **Positive guidance or store-expansion updates.** More constructive management guidance, or evidence of strong unit economics from new stores, would reinforce confidence in the long-term growth strategy.

Investment Risks

- **Macroeconomic sensitivity.** Any deterioration in U.S. economic conditions that negatively affects consumer spending could materially impact Sprouts. Organic food is typically priced at a premium to conventional food, and demand may decline during slowdowns as consumers trade down to lower-cost alternatives.
- **Slower new-store expansion.** If management reduces its focus on new openings, the company's forecasted long-term growth could fall significantly. Underperformance of newly opened stores relative to expectations would also weigh on revenue growth and profitability.
- **Competitive pressure.** As organic and health-focused food becomes more mainstream, competition is likely to intensify — both from existing chains expanding organic offerings and from new entrants. Whole Foods' recent price reductions erode one of Sprouts' historical advantages; while Sprouts' exclusive health-oriented focus may partially offset this, intensified competition remains a key risk.
- **Securities-fraud lawsuit.** A class-action complaint alleges that Sprouts and certain executives made false or misleading statements about growth prospects and sales performance, harming investors who purchased the stock. Investors who acquired Sprouts securities between June 4, 2025 and October 29, 2025 may be eligible to join.